



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Avinash Tanawade 022 67141442

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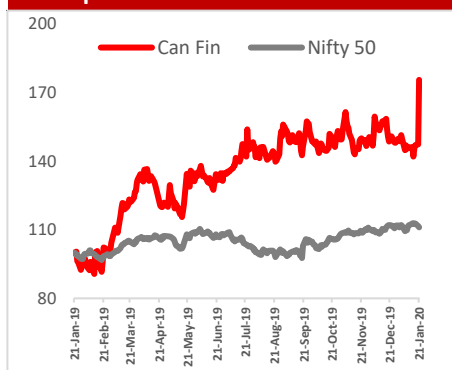
BUY

Current Price	464
52 Week Range	235/467
Target Price	548
Upside	18%

Key Share Data

Market Cap (Rs.bn)	61.8
Market Cap (US\$ mn)	869
No of o/s shares (mn)	133
Face Value	2
Monthly Avg.	
Vol(BSE+NSE)(000)	291
BSE Code	511196
NSE Code	CANFINHOME
Bloomberg	CANF:IN

Price performance



% Shareholding	Dec-19	Sep-19
Promoters	30.0%	30.0%
DII's	7.7%	5.0%
Others	62.3%	65.0%
Total	100.0	100.0

Can Fin Homes (CFH) has strong profitability, with ROE of 19.7% and ROA of 2.0% in Q3FY20, supported by stable margin, better operating efficiency and lower credit cost. CFH has successfully maintained NIM of over 3% for past 3 years, due to annual reset of yields and stable borrowing cost. In FY19, company's profit was adversely impacted due to adoption of IND AS in which company has to amortize processing fees earned on the entire tenor of loans. **CFH has reported a CAGR growth of 32% in its net interest income for last five years (FY14-FY19), supported by a healthy growth in disbursements.**

Going forward, we expect the company's loan book to grow at CAGR ~20% in FY19-22E, with growth in Net profit at ~26%. At CMP the stock trades at 2.5x its FY21E ABVPS and 2.1x its FY22E ABVPS. After considering company's position and opportunity available in affordable housing and with better pricing power, we believe CFH will counter any pressure from pricing war. **We initiate coverage on CFH with a BUY rating giving a P/ABV multiple of 2.5x on FY22E BV to arrive at target price of Rs 548 i.e. upside of 18%.**

Loan growth engine to regain momentum; Non-metro contribution to go up by 1100 bps to 44% over FY19- FY22: Company's advances grew at CAGR of 31% during FY13-18, however a slowdown in its core market of Karnataka & Tamil Nadu post the implementation of RERA, dampened loan growth in FY19 to 17%. **As part of their future growth strategy, they have increased focus towards non-metro areas mainly Tier II/III cities (reported loan book CAGR of 35% over FY16-FY19).** Out of 70 branches added over three years, 58 branches have been added in non-metro areas. Accordingly, the share of non-metro areas in sanctions surged from 28% to 45%, while in outstanding loan book, it has increased from 23% to 35%. In H1FY20, metro loan book registered a growth of 10% as against 28% in non-metro loan book. Through expansion in newer geographies with deeper penetration into Tier-II to Tier-IV cities, CFH is poised for good growth in the medium term. **Going forward, we are expecting a non-metro loan book to grow at CAGR of 32%, while metro loan book to grow at CAGR of 11% over FY19-22E. Thus, the share of non-metro areas will increase from 33% to 44% by FY22.**

Best in class asset quality among all major peers; GNPA stood at 0.78%: CFH's GNPA ratio in Q2FY20 stood at 0.78%, **as compared to 0.8-4.2% range for the other major HFC players.** Company's robust asset quality has been supported by its prudent underwriting standards, strong recovery practices, better appraisal norms & stringent risk monitoring mechanisms. **Increasing focus on lower-risk salaried clientele (71% of loan book) and avoidance of higher-risk large-ticket non-housing businesses (11% of loan book) also helps maintain superior asset quality.** Besides, the company does not have any major exposure to builder loans and hence is not exposed to risky developer financing. While the NPA level has increased in H1FY20, management is focusing on controlling the slippages by way of recovery measures & conservative lending practices. Furthermore, as the company has initiated SARFAESI in the number of NPL cases, **the expected resolutions are likely to drive a reduction in NPL ratios by the end of FY20.**

Strong traction in affordable housing: FY19 witnessed moderation in sales of high end luxury apartments, but demand for affordable housing continued to increase. Government has increased focus on affordable housing through PMAY, where ~15mn affordable homes have been built in the last five years and ~19.5mn are planned under Phase-II. The Finance Minister has announced an additional deduction of up to Rs 1.5 lacs for interest paid on housing loans borrowed up to March 31, 2020 to further boost demand. Increasing urbanisation, continued fiscal incentives and a young demographic profile are key drivers for housing in India. Large demand-supply gap and low penetration of mortgages are key reasons on which we believe demand for housing finance will continue to grow.

Financials (Rs. Mn)

Years	NII	PPOP	PAT	EPS	Adj. BVPS	P/ABV	RoA
FY19	5305	4706	2967	22	128	3.6	1.7
FY20	6456	5729	3947	30	151	3.1	1.9
FY21	7831	6946	4926	37	182	2.5	1.9
FY22	9368	8308	5916	44	219	2.1	2.1



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Background

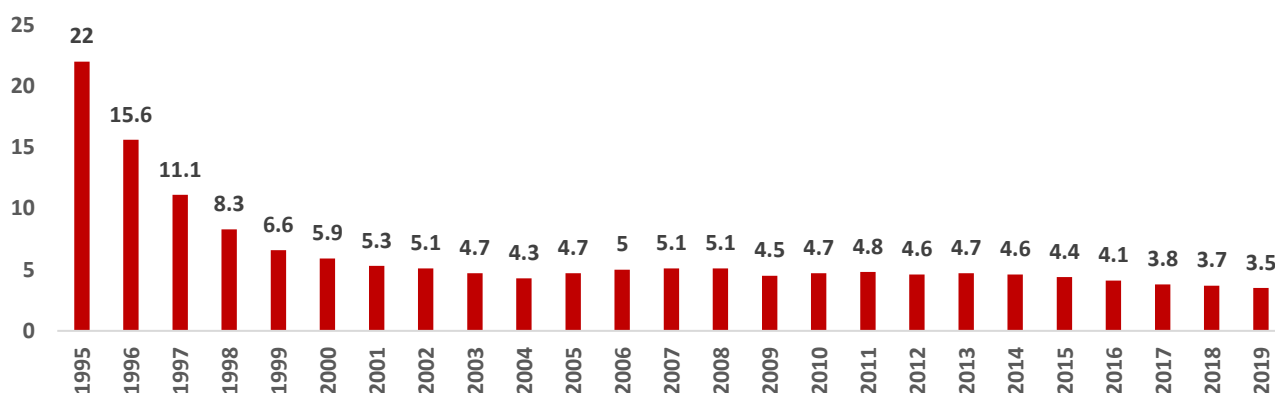
CFH has a lending history of more than 31 years. Over a period of time, it has developed a strong underwriting, collection and recovery system. The company largely focusses on the salaried and professional category, accounting for 71% of the total portfolio. The average ticket size of incremental housing loan and non-housing loans are Rs 1.81mn and Rs 0.92mn respectively. With new loan approvals of Rs 27.13bn and disbursements of Rs 26.10bn during H1 FY20, the company's loan book grew by 16% YoY to Rs 196bn. notwithstanding the macro-economic challenges and the liquidity issues surrounding the NBFC/HFC space, CFH was consistent in its performances in all market conditions. We expect ~20% CAGR in the loan book over FY19-FY22E supported by presence in mass market housing and diversification in newer geographies to enhance loan growth.

Industry Analysis

Housing is a basic requirement for every individual and is a basic indicator of the growth & social well-being of any economy. During the year, sales of high end luxury apartments continued to remain lacklustre, however, there was increased demand for affordable housing. The strong regulatory thrust on the affordable housing segment has led to various large numbers of players entering the affordable housing segment. **Under the Pradhan Mantri Awas Yojna (PMAY), ~1.5 Cr affordable homes have been built in the last five years and ~1.95 Cr are being further built as part of Phase-II.** In order to further increase the demand in the residential market, the Finance Minister has also announced an additional deduction of up to Rs 1.5 lakh for interest paid on housing loans borrowed up to March 31, 2020 for purchase of affordable homes. **Increasing urbanisation, continued fiscal incentives and a young demographic profile remain reassuring factors that the demand for housing in India will continue to remain healthy.** Keeping in view the demand-supply gap and Low penetration of mortgages, we believe that the demand for housing finance will also continue to grow.

In India, affordability has improved with income levels rising at a faster pace compared to real estate prices. The ratio of property price to income has gone down to 3.5X in FY2019 from 22X in FY1992.

Affordability – Property price to Income – 1995-2019



(Source: HDFC Limited, Dalal & Broacha Research)

Housing finance segment remains under-penetrated when looked at from the prism of mortgages to GDP. We believe that the housing credit as a percentage of GDP will increase upto several western economies as the capacity of the Indian consumer to take on debt is expected to improve significantly



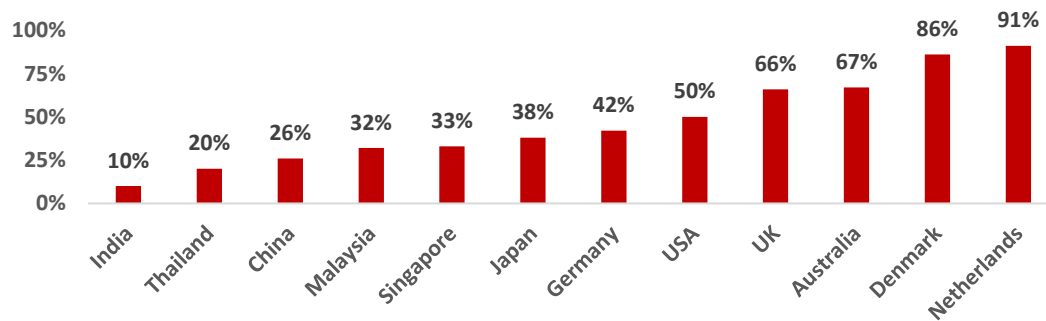
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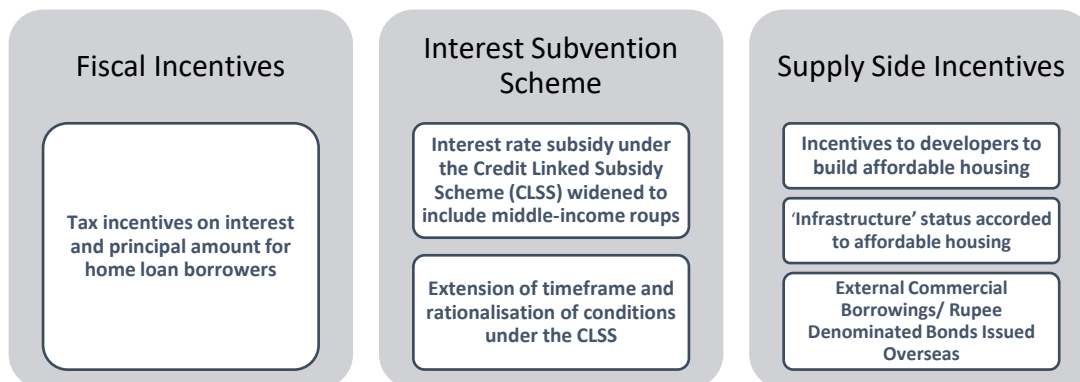
Low Penetration Implies Room for Growth

Mortgages as a percentage of GDP – India vs Other nations

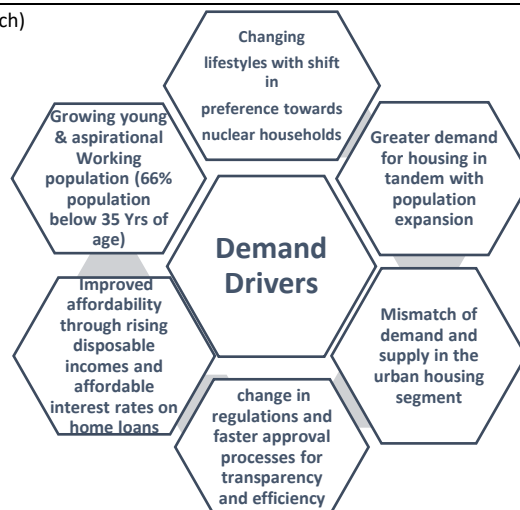


(Source: HDFC Limited, Dalal & Broacha Research)

Government Initiatives



(Source: HDFC Limited, Dalal & Broacha Research)



(Source: Dalal & Broacha Research)



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Liquidity challenges

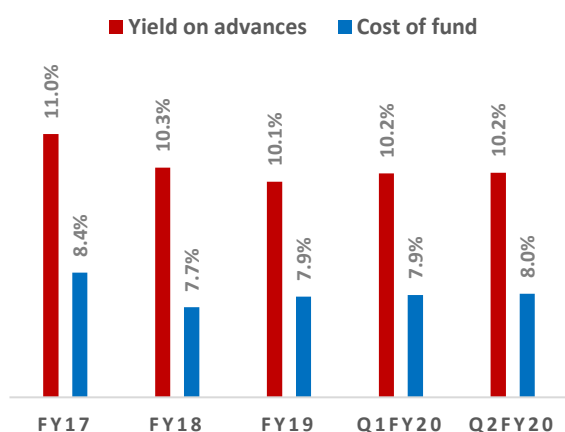
The liquidity challenges that followed the IL&FS default and subsequent other defaults by a few companies, pulled down growth in AUM of HFCs in H2FY19. With funding access being affected, NBFCs & HFCs, were forced to limit their disbursements and focus instead on conserving liquidity. However, there is no constraint whatsoever as far as liquidity is concerned for strong HFCs. Lenders were differentiating between HFCs -- choosing those with strong parentage and better credit profiles, and going slow on those with a large wholesale portfolio. With a robust retail portfolio & better risk management systems, CFH is well placed among its peers.

Further, the centre and RBI have taken several steps to ease liquidity. The central bank has infused liquidity by conducting OMOs, increased the single-borrower limit for exposure of banks to NBFCs, & reduced the minimum average maturity requirement for ECBs in the infrastructure space to 3 years from 5 Years. Banking liquidity for Dec'19 stood at Rs2.6tn and net absorption by RBI stood at Rs2.1tn on average basis.

Strong profitability

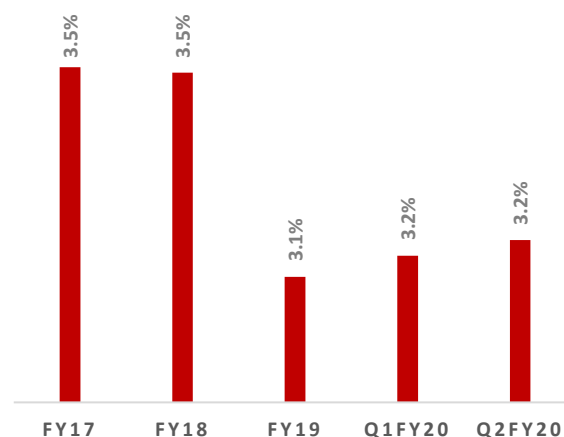
CFH has a strong profitability, with ROE of 18% and ROA of 1.8% in FY2019, which was supported by its stable Margin, better operating efficiency and lower credit costs. The company has been maintaining NIM of over 3% on a consistent basis for the past three years, due to annual reset of yields and stable borrowing cost. However in FY19, the company's profit was adversely impacted by adoption of IND AS on account of which company has to amortize processing fees earned on the entire tenor of loans. CFH has reported a CAGR growth of 32% in its net interest income for last five years (FY14-FY19), supported by a healthy growth in disbursements. CFH's loan portfolio has grown at a CAGR of 26%, while disbursements have witnessed 17% growth during FY14- FY19.

Stable yields & borrowing cost



(Source: Company, Dalal & Broacha Research)

NIM consistently over three percent



(Source: Company, Dalal & Broacha Research)

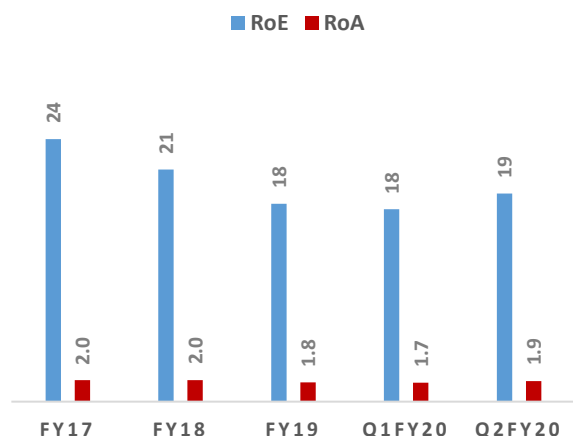


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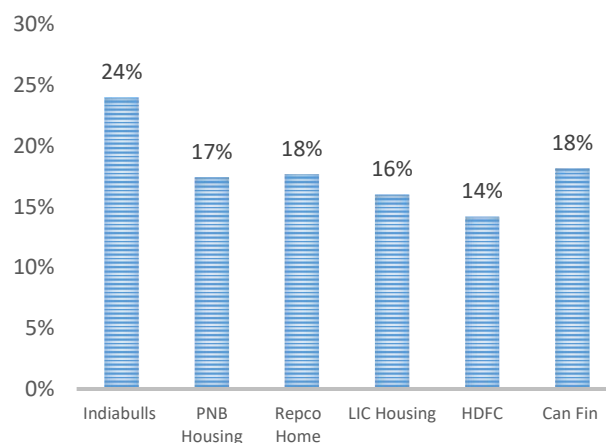
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Strong return ratios



(Source: Company, Dalal & Broacha Research)

RoE of major HFCs

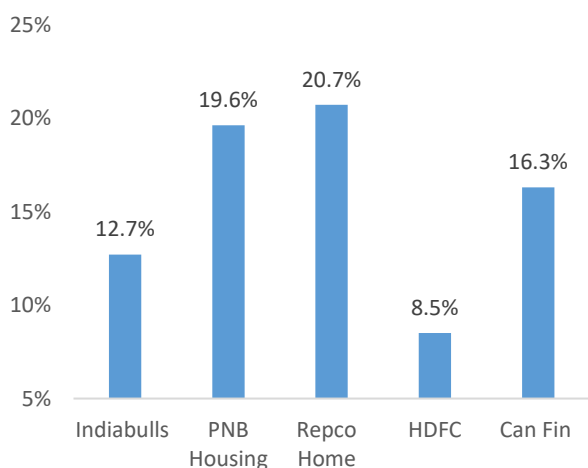


(Source: Company, Dalal & Broacha Research)

Better operating Efficiency

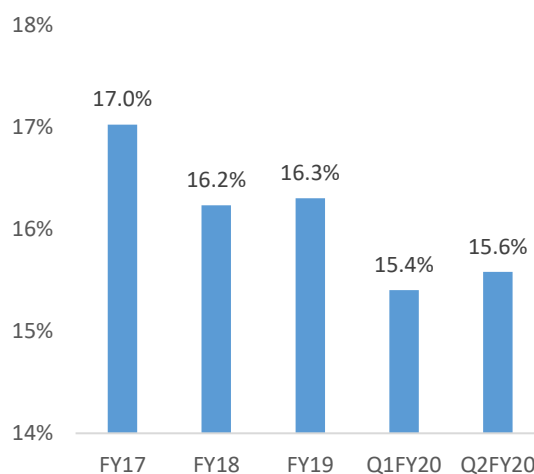
CFH's cost to income (C/I) ratio was contained at 16.30% in FY19, which is one of the best among peers. Over the years, the company has implemented several technology initiatives to improve its operational efficiency. It has implemented C-KYC (Central KYC) which act as centralized repository of KYC records of customers in the financial sector with uniform KYC norms and inter-usability of the KYC records across the sector. All the branches and the Registered Office are linked through a core-banking platform (Integrated Business Suite) under the ASP Model. The Company is also in advanced phase for implementation of MPLS links for a higher bandwidth and dedicated uptime. C/I ratio is likely to improve further as newly opened branches start maturing, operating leverage should kick in and drive the return ratios going forward.

One of lowest C/I ratio among HFCs



(Source: Company, Dalal & Broacha Research)

C/I Ratio



(Source: Company, Dalal & Broacha Research)



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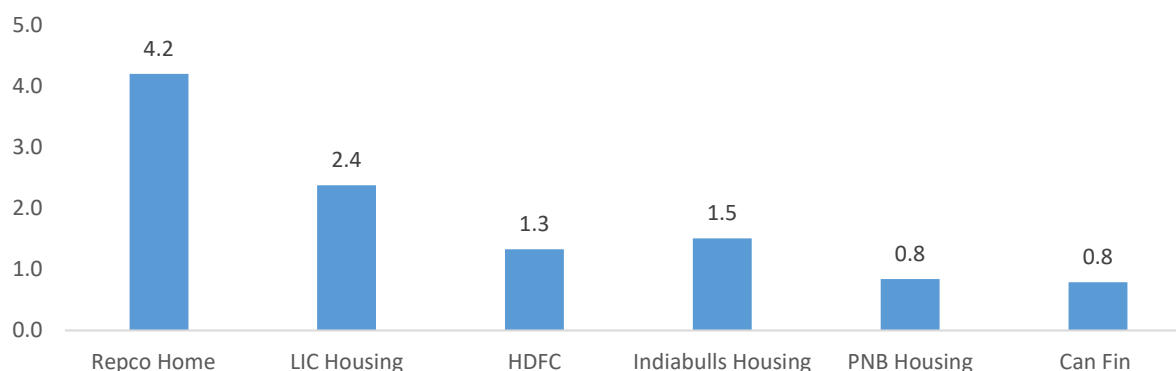
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Low risk portfolio led by salaried segment; Best in class asset quality among all major peers

CFH's GNPA Ratio at the end of Q2FY20 stood at 0.78%, as compared with 0.8-4.2% for the major HFC peers. The company's robust asset quality has been supported by its good underwriting standards, better appraisal norms and stringent risk monitoring mechanisms. Prudent focus on lower risk salaried clientele (75% of loan book) and avoidance of higher-risk large-ticket non-housing businesses (5.9% of loan book) also help to maintain superior asset quality. The average ticket size (ATS) of incremental housing and non-housing loans are Rs 1.8mn and Rs 0.9mn respectively. The lower ticket size mitigates high concentration risk to a single borrower. Besides, the company does not have any major exposure to builder loans, and is thus not exposed to risky developer financing. Builder loan constitutes only 0.03% of total outstanding loan book as on Q2FY20.

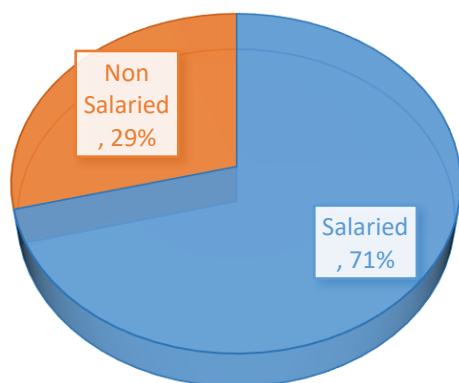
Best asset quality among all major HFCs

GNPA Ratio for HFCs–Q2FY20



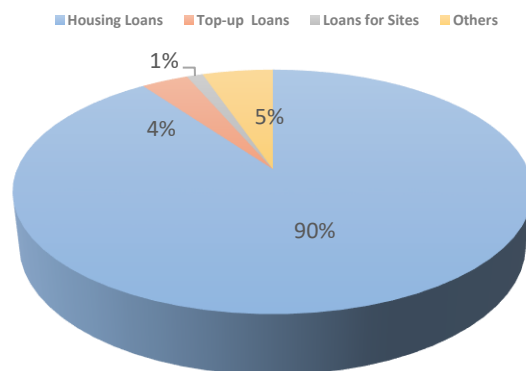
(Source: Dalal & Broacha Research)

Loan Book breakup (Q2FY20)



(Source: Dalal & Broacha Research)

Loan Book breakup (Q2FY20)





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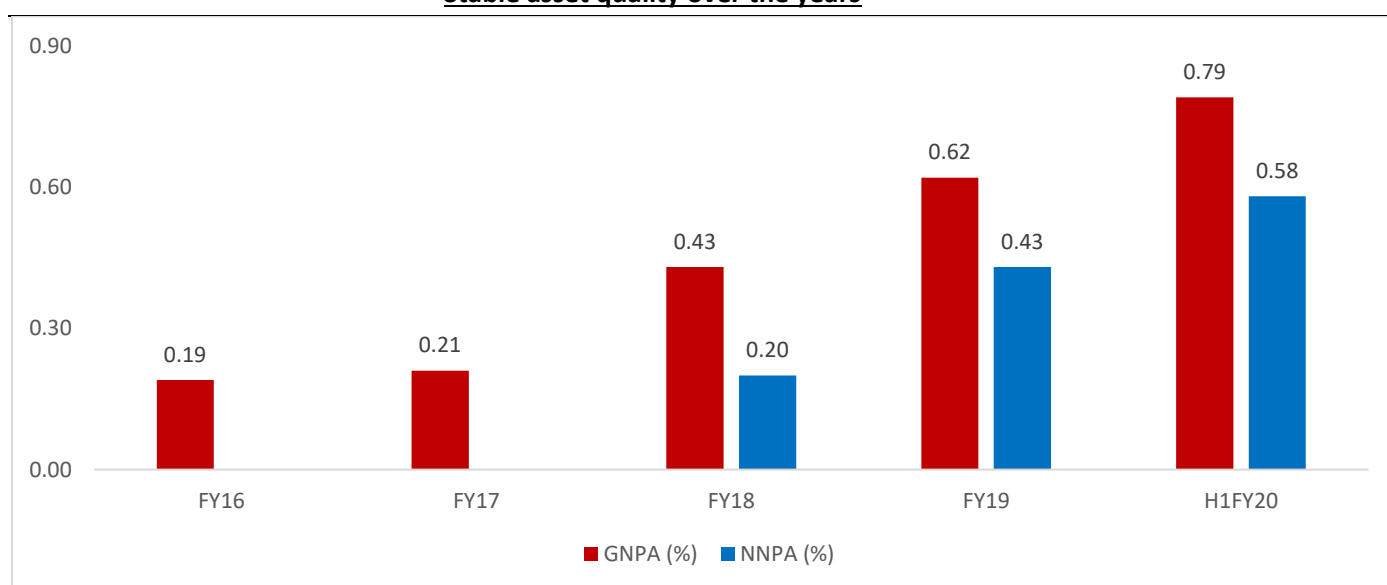
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Controlling the risk through effective Loan Review Mechanism: CFH has always been consciously conservative in its lending approach to ensure good asset quality and sustained profits. To ascertain the creditworthiness of individual, the company has built a proper loan review mechanism, which includes a comprehensive credit risk assessment procedure and standardized system for analysing qualitative and quantitative information of each borrower. Further, LAP loans are mostly given to the borrowers who have earlier availed a home loan with the CFH, and ticket sizes are comparatively lower (Rs 10 Lakh).

Unlike other peer lenders, CFH's lending norms are stringent in terms of the loan to value ratio in tune with the regulatory guidelines. All the loans in both housing and non-housing segments are backed by adequate security leading. Further to mitigate the risk of default, safe margins of mandatory investment by the borrowers are insisted upon as a part of CFH's prudent underwriting policy. The company also makes a portfolio risk analysis at frequent intervals with its stringent review mechanism.

Slight moderation in asset quality during H1FY20: while the NPA levels have increased in H1FY20, (GNPA stood at 0.79% in Q2FY20 vs GNPA 0.62% in Q4FY19), management is focusing on controlling the slippages by way of recovery measures & conservative lending practices. NPA level has increased across product categories and was more pronounced in the non-housing segment. As the company has initiated SARFAESI in number of NPL cases, the expected resolutions are likely to drive a reduction in NPL ratios by the end of FY20. CFH has historically been able to recovery more than 100% of the principal amount, either through settlement or through sale of assets. Usually, the company evaluates the borrower's ability & willingness to repay before starting recovery through the legal route. PCR remains low at 27% as of FY19 and has declined from 33% YoY, partly due to transition to ECL model. Still for most of the stress assets, the company is carrying provisions under IRAC norms which are higher than those required under ECL norms. Going forward, we expect asset quality to remain largely stable and below the major HFC peers over FY19-FY22E.

Stable asset quality over the years



(Source: Dalal & Broacha Research)



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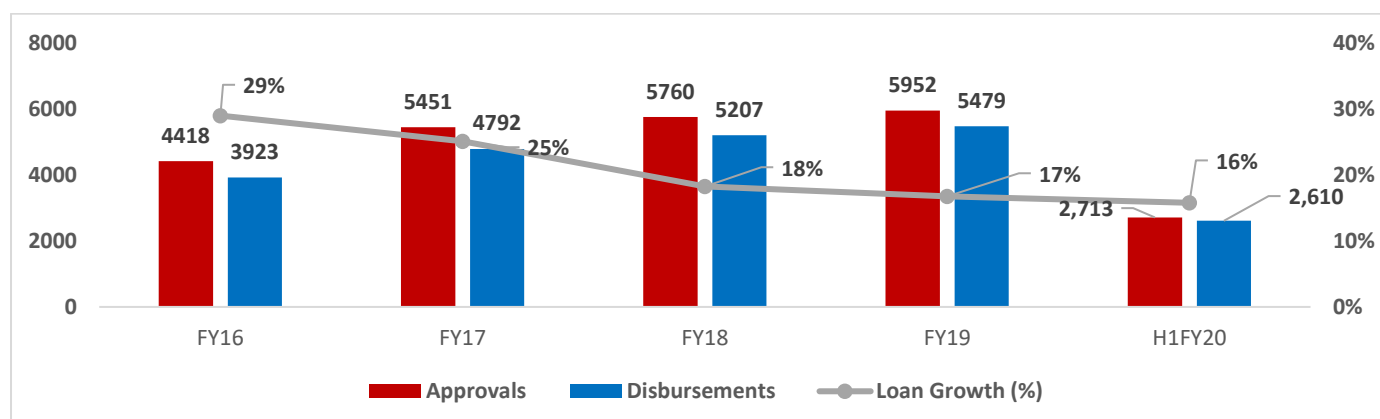
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Loan growth engine to regain momentum

CFH's advances grew at CAGR of 31% during FY13-18, however a slowdown in its core market of Karnataka & Tamil Nadu post the implementation of RERA, pulled down the loan growth rates in FY19. With time passed, we are looking at RERA gradually from a rear-view mirror as states streamline implementation & builders, both big and small, fall in line. The home state of Karnataka (account for ~30% of loan book) is showing signs of improvement. In Karnataka, company is pursuing growth opportunities offered by new affordable housing projects coming up on the outskirts of Bengaluru. Besides, the company is witnessing good growth opportunities in Hyderabad/Andhra Pradesh and trying to expand in Kerala.

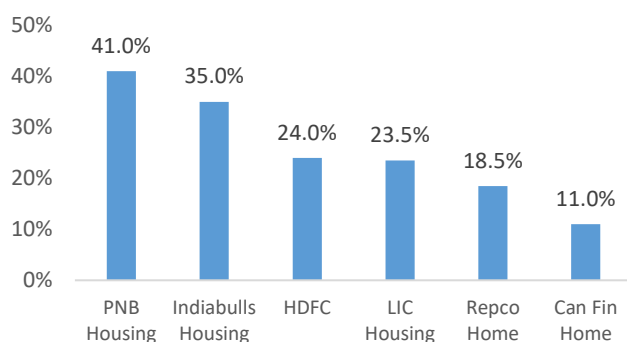
Notably, despite recent slowdown in real estate market, stiff competition from Banks, the loan book continued to grow at a stable pace of 16% YoY during H1FY20. With the higher focus on tier-2/3 cities, improving supply side prospects along with the government's thrust on affordable housing, We expect the company's loan book to grow at CAGR of ~20% in FY19-22E. The large part of the growth will come from non-metro areas; expecting a CAGR of 32% in FY19-22E. Improving the efficiency of the recently added branches and sharp moderation in balance transfers should aid the Company's loan growth from hereon.

Loan book growth moderated

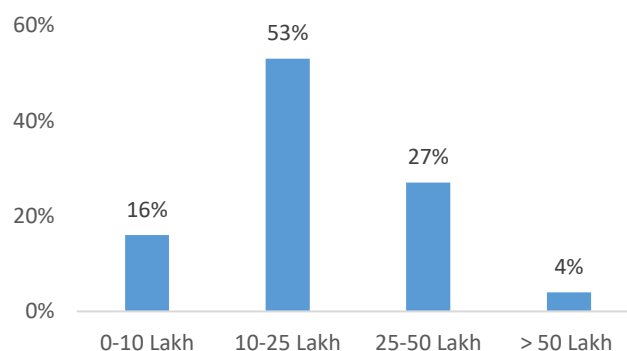


(Source: Company, Dalal & Broacha Research)

Peer comparison - contribution of non-housing loans %



Average Ticket Size



(Source: Company, Dalal & Broacha Research)



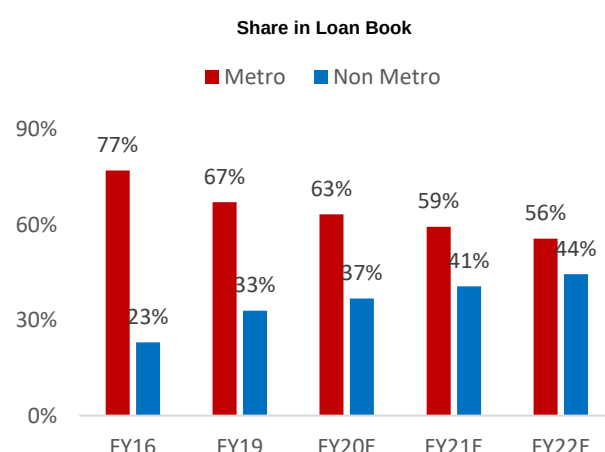
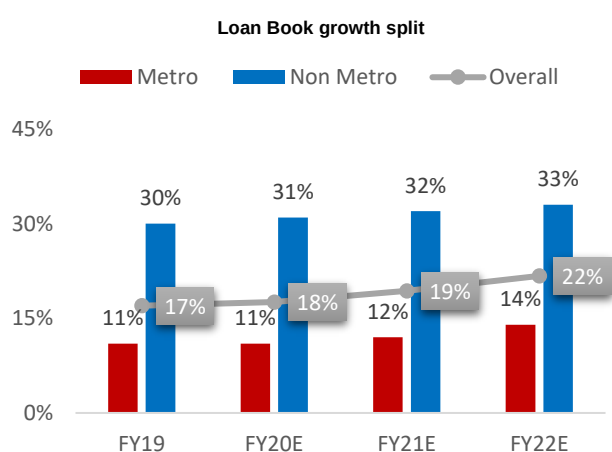
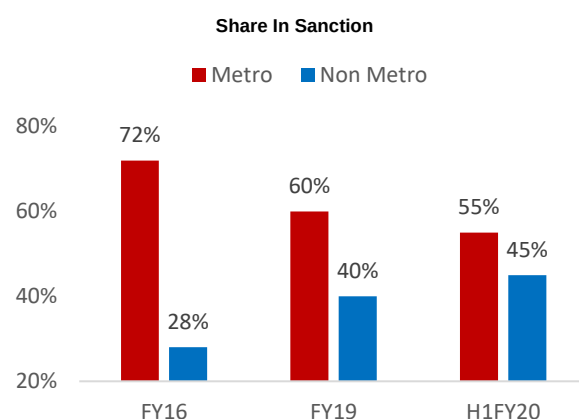
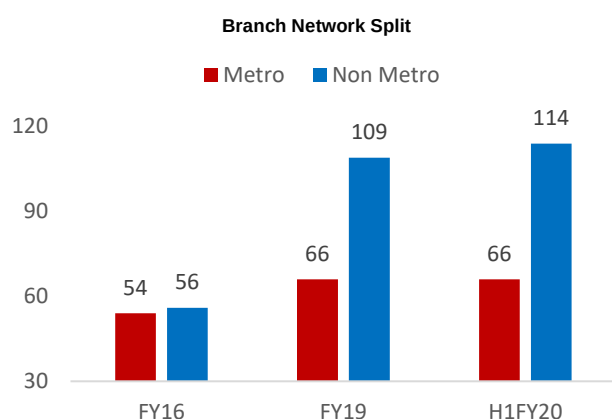
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Focus on non-metro areas amid increasing competition in Tier I cities

In order to drive its future growth, the company has changed its focus to Tier II/III cities, as there is increasing competition from banks in metro & Tier I cities. Efforts to expand into newer areas and customer segment can result in strong loan book growth. Out of the 70 branches added in last three and half years, 58 branches have been added in non-metro areas. Accordingly, the share of non-metro areas in sanctions has surged from 28% to 45%, while in the outstanding loan book it has gone up from 23% to 35% during the same period. In H1FY20, metro loan book registered a growth of 10% as compared to 28% in non-metro loan book. This has also kept a tab on ATS; and currently only 3% of portfolio comprises of loans above Rs 5mn. Within this, there are handful of cases where loans exceed Rs 10mn.



Source: Company, Dalal & Broacha Research

CFHL has plans to add ~20 branches in FY20, mainly in Tier III/IV cities, taking the total branch/satellite office network to over 200. 5 branches were added in H1FY20. With the expansion in newer geographies and with deeper penetration in Tier-II to Tier-IV cities, we believe that company will improve its business growth in the near to medium term. Moreover, we also believe that the company is well placed to benefit from the government's various initiatives.



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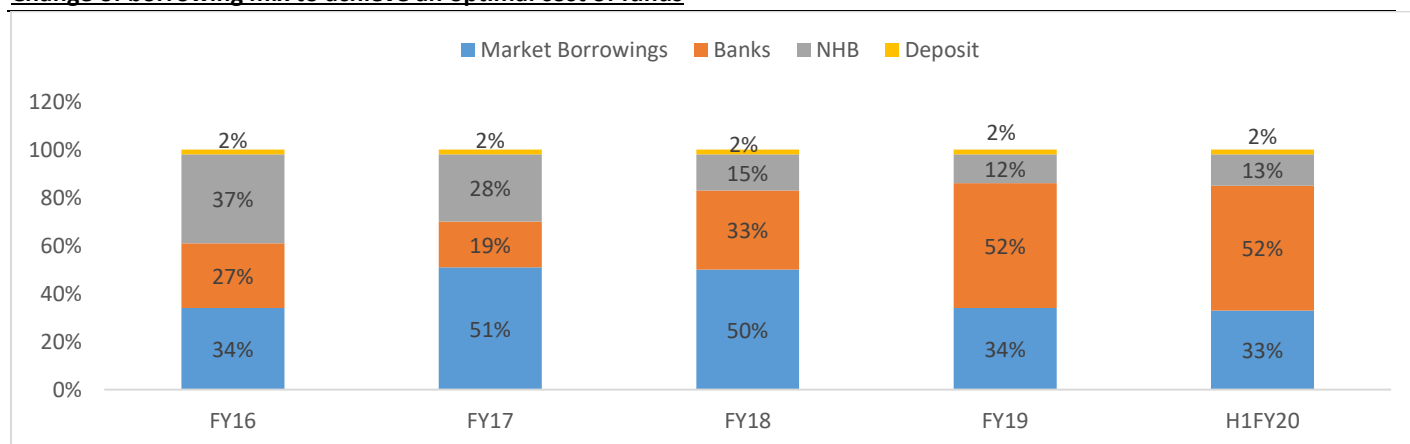
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Diversified funding profile

In order to derive the maximum benefit of competitive interest rates, the company has diversified its funding profile through a combination of short-term and long-term debt. While short term borrowing helps to reduce the cost of funds, longer-term funding helps to stabilize the Interest rate volatility. Furthermore, Interest rate fluctuations are also taken care of by the rate sensitive assets which can be re-priced. With the introduction of the annual reset clause effective from April 2017, the rate of interest is automatically reset annually on the basis COF available at that time, protecting both the customer as well as CFH. The company's borrowing sources include debt market instruments, bank borrowings, National Housing Bank (NHB) refinance and public Deposits.

Change of borrowing mix to achieve an optimal cost of funds



Source: Company, Dalal & Broacha Research

Cost of Funds leadership

To sustain the margins & profitability, CHF follows a cost conscious approach to borrowing; always looking out for cost effective alternate sources of borrowings. Because of which, the company's cost of funds stood at 8% as on Q2FY20 compared with other major HFC peers ranging between 8.1-9%. This helps the company to remain more competitive on lending rates, especially for salaried clients. Historically, the company has been able to raise funds at a cheaper rate compared to its peers, as seen in below table. Going forward, we believe that the company's access to funding remains adequate with large unutilised lines from multiple banks. CFH enjoys financial support from various banks like SBI, HDFC Bank, Syndicate Bank, Corporation Bank, etc. apart from Canara Bank. It also has a sanctioned line from NHB.

Peer comparison - Cost of fund (%)

Cost of funds	FY16	FY17	FY18	FY19	H1FY20
HDFC	8.9%	8.3%	7.5%	8.0%	8.1%
LIC Housing Finance	9.1%	8.6%	8.3%	8.5%	8.4%
PNB Housing Finance	9.1%	8.6%	7.7%	8.0%	8.3%
Can Fin Homes	8.8%	8.4%	7.7%	7.9%	8.0%
Repco Home Finance	9.4%	9.1%	8.4%	8.3%	8.5%
Indiabulls Housing	9.1%	8.4%	7.8%	8.7%	8.9%
Average cost	9.1%	8.5%	7.9%	8.2%	8.4%

Source: Company, Dalal & Broacha Research



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Liquidity Position

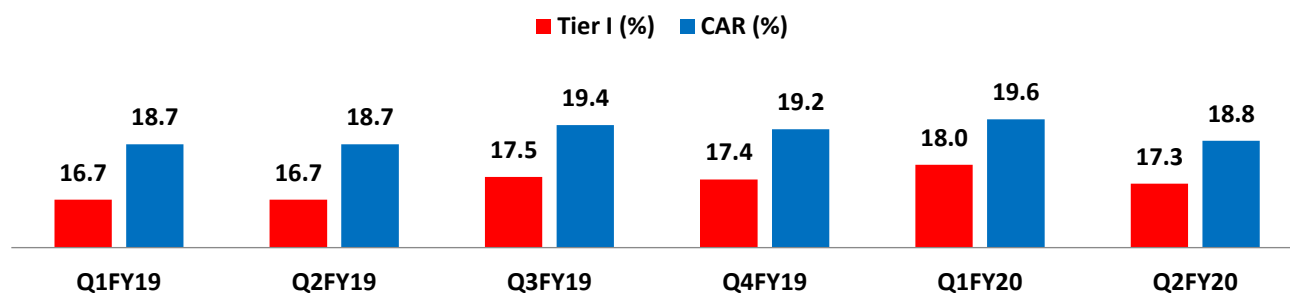
With the long term the nature of home loans (ranging from 12-20 years), the company's asset liability mismatch remains adverse in the less than one year bucket. However, the risk is largely mitigated by its policy of keeping sufficient unutilised bank lines as a liquidity buffer. The company has a good relationship with various lenders and has sizeable undrawn sanctioned lines to the extent of Rs 1,400 Cr as on Q2FY20. Even despite all these liquidity challenges during H1 FY20, the company has raised ~Rs 3,260 Cr from banks, as well as market.

with the banks passing on the rate cut benefits, we expect CFH's cost of borrowing to come down during the rest of FY20, resulting in NIM sustenance at current levels at the minimum. Furthermore, in order to strengthen its ALM, the company has shifted its debt mix towards bank borrowings which accounted for 52% of its total debt as on September 30, 2019.

Adequate capitalization levels

Supported by healthy internal accruals and stable growth, CHF has been able to maintain comfortable capital adequacy ratio (CAR) at over 18% over the last five years. CAR stood at 18.8% as on Q2FY20 against the 12% stipulation by NHB, with Tier I ratio of 17.3%. Though capital position remains stable, the Management intends to raise equity capital in FY20 to improve the leverage ratio and to support an accelerated growth planned during FY20-FY22. They do have board approval of Rs 1000 Cr in place and if the company is able to raise this much capital, it would support nearly three to four years of risk weighted asset growth. At CMP, it would be BV-accretive (equity dilution could be around 19.4%/Tier 1 ratio will increase upto ~27%).

Comfortable Capitalisation



(Source: Company, Dalal & Broacha Research)

Peer comparison

FY19 (%) / Rs-BVPS	NIM	COF	C/I Ratio	GNPA	ROA	ROE	CAR	Individuals	BVPS	P/BV
HDFC	3.3	8.0	9	0.7	2.1	14	19	74	649	3.8
LIC Housing	2.4	8.5	11	1.5	1.3	16	14	76	322	1.4
PNB Housing	2.9	8.0	20	0.5	1.6	17	14	58	444	1.1
Can Fin Homes	3.1	7.9	16	0.6	1.8	18	19	88	134	2.9
Repco	4.5	8.3	21	3.0	2.2	18	24	85	244	1.3
Gruh	4.0	8.5	16	0.7	2.7	26	20	83	26	12
Average	3.4	8.2	15	1.2	1.9	18	18	77	-	3.8

(Source: Company, Dalal & Broacha Research)



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Q3FY20 Strong Performance

(NIMs at seven quarter high; Lowest cost of funds amongst peers; 20% growth guidance)

Can fin homes bank has reported a strong set of numbers for the Q3FY20, with NII growth of 23% YoY/8% QoQ, PPOP growth of 24% YoY /9% QoQ & PAT growth of 41% YoY/9% QoQ. NIMs expanded by 8 bps QoQ to 3.42% (highest in seven quarters), largely due to declined cost of funds.

During Q3FY20, Loan spread improved to 2.32% from 2.28% QoQ, with yield on advances declined by 3 bps QoQ to 10.20%, and the cost of funds contained at 7.88% (vs 7.95% in Q2FY20 & 7.89% in Q3FY19). CFH despite the rating downgrade maintained low funding cost. While overall incremental cost of borrowing stood at 7.75%, cost of borrowing from NHB stood at 7%.

Loan Book grew by 15%/3% YoY/QoQ, driven by both housing (15% YoY) and non-housing loans (13% YoY). Disbursement grew by 12% YoY/11% QoQ stood at Rs 1477 Cr, while sanctions grew by 9% YoY/14% QoQ at Rs 1,617 Cr. Going forward, management is hopeful to achieve loan growth of 20% for the next two years. We believe that a conservative lending culture is embedded in CFH as it has always maintained steadfast focus on quality growth. During Q3FY20, CFH's asset quality remained stable, with GNPA's at 0.80%, up by 1 bps QoQ, while NNPA's at 0.59% (up by 2 bps QoQ).

With competition from banks heating-up in major Tier-1 cities, the company is expanding its presence in important Tier 2/3 growth markets (non-Metro locations). Accordingly, the share of these markets in fresh approvals and loan book has risen to 45% (from 39% YoY) and 36% (from 32% YoY) respectively. Non-Metro portfolio of the company grew by 28% YoY as compared to 9% YoY growth in the Metro book. The company's robust liability franchise, better cost of funds relative to competitors, and strong asset quality due to a high mix of housing loans to the salaried category keep us positive on the stock.

P&L (Rs Mn)	Q3 FY19	Q4 FY19	Q1 FY20	Q2 FY20	YoY	QoQ	Q3 FY20
Interest Income	4376	4514	4772	4940	16.0	2.8	5078
Interest Expenditure	3015	3137	3286	3379	12.5	0.4	3391
Net Interest Income	1361	1377	1486	1561	23.9	8.0	1686
Fees & Other Income	63	124	69	67	42.3	34.6	90
Net Income	1425	1501	1555	1628	24.7	9.1	1777
Other Expenditure	216	325	239	256	27.7	7.4	275
PPOP	1209	1176	1316	1372	24.2	9.4	1501
Provision	0	11	87	63	0.0	-27.4	46
Profit Before Tax	1209	1165	1229	1309	20.4	11.2	1456
Tax & DTL	451	495	419	333	-13.6	17.1	390
Profit After Tax	758	670	810	976	40.6	9.2	1066
Yield & Spread (%)							
Yields	10.1	10.1	10.2	10.2	14 bps	(3 bps)	10.2
Cost of fund	7.9	7.9	7.9	8.0	(1 bps)	(7 bps)	7.9
Spread	2.2	2.2	2.3	2.3	15 bps	4 bps	2.3
NIM	3.2	3.1	3.2	3.2	24 bps	21 bps	3.4
Returns							
ROA	1.9	1.8	1.7	1.9	10 bps	10 bps	2.0
ROE	21.4	18.2	17.6	19.1	(169 bps)	64 bps	19.7
Loan movement							
New Approvals	14830	17380	12890	14240	9.1	13.6	16173
Disbursements	13180	15540	12760	13340	12.0	10.7	14767
Loan Book	175680	183810	190030	196000	14.9	3.0	201940



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Outlook and Valuation

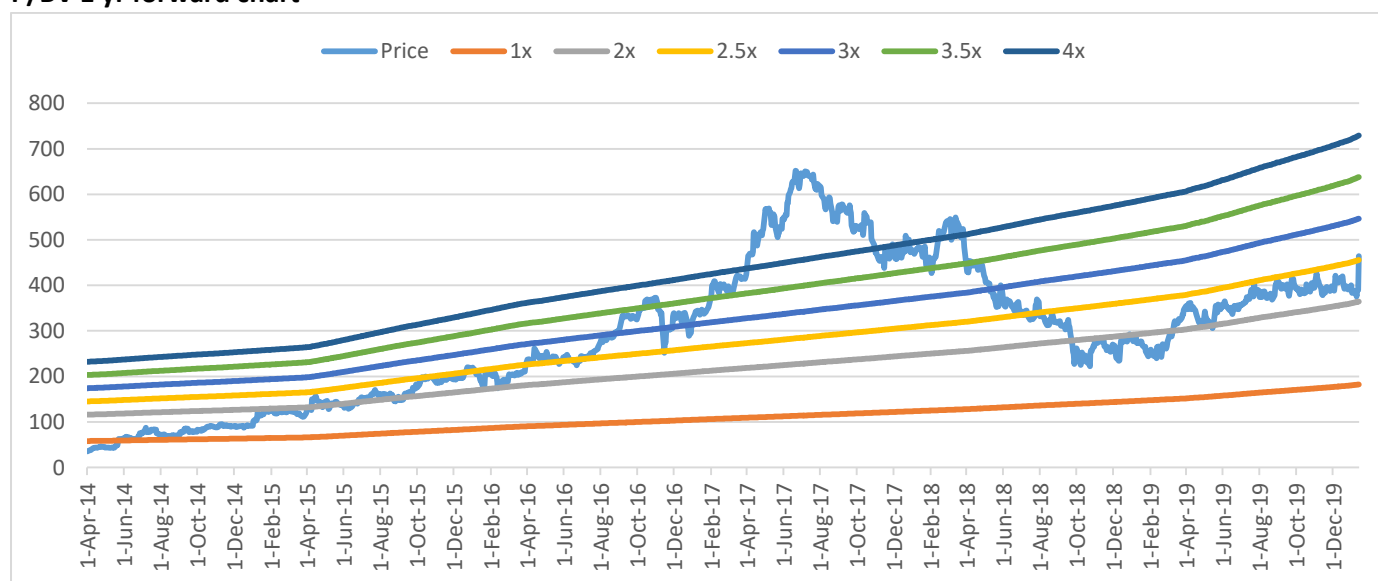
Can Fin Homes is a pure play on the housing finance space with a robust model. Despite the macro-economic headwinds and the liquidity issues surrounding the NBFC/HFC space, CFH was consistent in its performances. The company's risk adversity was supported by presence in the low-risk housing loans segment with majority of the borrowers being salaried individuals, negligible exposure to developer loans as well as high-ticket-size LAPs. Going forward, we believe the company to have strong growth potential backed by increase in geographical diversification, good operating efficiency, stable borrowing rates and lower credit costs. We forecast a 20-24% CAGR in loan book and earnings over FY19-22, implying steady RoA/RoE delivery of 1.9%/20%.

Recently, Canara Bank has decided to call-off the divestment process of its entire stake in CFH. Because of which, the company can continue to enjoy managerial, operational as well as financial support from Canara Bank. Currently, Canara has a sizeable representation (3 out of 7 members) on CFH's board with the others as independent industry experts. Given that Canara Bank, an important part of the PSU eco-system, is its parent, CFH will continue to have ample access to cheap Banking funding lines.

At the current price, the stock trades at 2.5 times its one-year forward book value, lower than its five-year historical average of 2.8 times and peak valuation of 5.7 times book value. We assign a P/AB (x) of 2.5 to FY22E Adj Book Value per share of INR 219 and arrive at a Target Price of Rs 548. Valuation at 2.5x of FY22 book value is around the two year forward book value mean, and should be seen in the context of strong book value compounding (21%+ ROE). Besides, robust fundamentals and a likely earnings upgrade from recovery in housing market should drive valuations.

Key Risks to our call – Slower-than-expected growth and changes in RBI/NHB regulations. Furthermore, intense competition, increased cost of borrowing and narrowing down of spread, pose a big challenge for sustaining profitability on consistent basis.

P/BV 1 yr forward chart



Source: Company, Dalal & Broacha Research



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P&L (Rs Mn)	FY18	FY19	FY20	FY21	FY22
Interest income	14906	16996	20244	24333	29610
Interest expense	9810	11691	13787	16502	20242
Net interest income	5095	5305	6456	7831	9368
Non-interest income	314	318	333	356	404
Net revenues	5409	5623	6789	8187	9772
Operating expenses	878	916	1,060	1,241	1,464
PPOP	4531	4706	5729	6946	8308
Provisions	221	11	265	361	399
PBT	4310	4695	5464	6585	7909
Tax	1,445	1,728	1,517	1,659	1,993
PAT	2866	2967	3947	4926	5916

Source: Company, Dalal & Broacha Research

Balance sheet	FY18	FY19	FY20	FY21	FY22
Share capital	266	266	266	266	266
Reserves & surplus	14604	17556	21029	25305	30368
Net worth	14870	17822	21296	25571	30635
Borrowings	139210	166944	193646	230543	281387
Other liability	3215	3032	2869	2976	3087
Total liabilities	157295	187798	217811	259090	315109
Fixed assets	96	99	103	108	112
Investments	160	161	174	189	208
Loans	156440	182845	215050	256738	312335
Cash	190	4203	2015	1568	1946
Other assets	407	490	465	484	505
Total assets	157295	187798	217811	259090	315109

Source: Company, Dalal & Broacha Research

Ratios	FY18	FY19	FY20	FY21	FY22
Growth (%)					
NII	20.7	4.1	21.7	21.3	19.6
PPOP	16.8	3.9	21.7	21.3	19.6
PAT	22.3	3.6	33.0	24.8	20.1
Advances	18.3	16.9	17.6	19.4	21.7
Spread (%)					
Yield on Funds	10.3	10.0	10.2	10.3	10.4
Cost of Funds	7.6	7.6	7.6	7.8	7.9
Spread	2.7	2.4	2.5	2.5	2.5
NIM	3.5	3.1	3.2	3.3	3.3
Asset quality (%)					
Gross NPAs	0.4	0.6	0.7	0.8	0.7
Net NPAs	0.2	0.4	0.5	0.5	0.5
Provisions	53	30	29	32	35
Return ratios (%)					
RoE	21	18	20	21	21
RoA	2.0	1.7	1.9	2.1	2.1
Per share (Rs)					
EPS	22	22	30	37	44
BV	112	134	160	192	230
ABV	109	128	151	182	219
Valuation (x)					
P/E	21.6	20.8	15.7	12.5	10.4
P/BV	4.2	3.5	2.9	2.4	2.0
P/ABV	4.2	3.6	3.1	2.5	2.1

Source: Company, Dalal & Broacha Research



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